COUNTY COUNSEL'S IMPARTIAL ANALYSIS OF MEASURE E

MEASURE E — SOLANO COUNTY UNINCORPORATED BUSINESS LICENSE TAX

Measure E would amend Article XII of Chapter 11 of the Solano County Code to increase the business license tax on commercial wind turbine generators and impose business license taxes on commercial solar energy systems, front-of-the-meter battery energy storage systems, natural gas extraction facilities, and data centers in the unincorporated areas of Solano County.

Measure E would:

- Increase the commercial wind turbine tax rate from $0.00003 to $0.00008 per kilowatt-hour;
- Impose a tax of $0.00008 per kilowatt-hour on electricity generated by commercial solar energy systems;
- Impose a monthly capacity-based tax of $1.50 per megawatt-hour of approved energy storage capacity on front-of-the-meter battery energy storage systems, regardless of actual charging or discharging;
- Impose a tax of $0.30 per thousand cubic feet of natural gas extracted; and
- Impose an annual tax of $5.00 per square foot of gross floor area on data centers, including equipment-pad areas associated with ancillary behind-the-meter battery energy storage systems and natural gas turbines supporting a data center. The tax would not apply to information technology infrastructure that is accessory to and primarily supports specified on-site uses.

Beginning January 1, 2028, the tax rates would be adjusted annually based on changes in the Consumer Price Index for All Urban Consumers but could not decrease. The Director of Resource Management would calculate and publish the adjusted rates. Persons or entities exempt from business license taxes under federal or state law would remain exempt.

Revenues would be deposited into the County General Fund and could be used for any lawful governmental purpose. County staff estimate the measure would generate approximately $353,000 in additional annual revenue.

Measure E is a general tax and requires approval by a majority of voters voting on the measure. If approved, it would take effect January 1, 2027. The measure does not contain an expiration date.

A "yes" vote is a vote to approve the proposed amendments to the County's Business License Tax.

A "no" vote is a vote to retain the current Business License Tax provisions, including the existing commercial wind turbine tax rate, without the proposed tax categories or annual inflation adjustments.